

limited access. DeFi gives large, underserved groups like the global unbanked population and small businesses that employ substantial portions of the workforce (e.g., nearly 50 percent in the United States) direct access to financial services. The resulting impact on the entire global economy should be strongly positive. Even consumers who have access to traditional financial services such as bank accounts, mortgages, and credit cards cannot get products with the most competitive pricing and most favorable terms because they are restricted to large institutions. DeFi allows all users access to the entirety of its financial infrastructure, regardless of their wealth or geographic location.

Yield Farming

Yield farming provides access to many who need financial services but whom traditional finance leaves behind. It provides users with inflationary or contract-funded rewards for staking capital or using a protocol, which are then payable in the same underlying asset the user holds or in a distinct asset such as a governance token. Any user can participate, staking an amount of any size – regardless of how small – and receiving a proportional reward. This capability is particularly powerful in the case of governance tokens. A user of a protocol that issues a governance token via yield farming becomes a partial owner of the platform through the issued token. A rare occurrence in traditional finance, this process is a common and celebrated way to give ownership of the platform to the people who use and benefit from it.